

Japan Economic Comment

Q1 GDP confirmed broad-based strength

Economics

Japan

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Q1 real GDP grows solidly at 2.1% q/q saar

Q1 real GDP grew solidly at 2.1% q/q, saar, following 0.8% in Q4, beating both our expectation and the consensus forecast of 1.7%. On a year-on-year basis, growth came in at 0.6%/y, marking the seventh consecutive quarter of positive expansion. By demand component, growth was well balanced between domestic and external demand, both of which contributed positively to GDP. For FY2025 (from April to March), real GDP growth marked at 0.8%, steadily accelerating from -0.0% in FY2023 and 0.5% in FY2024. Nominal growth was supported by firm domestic inflation above 2%, reaching a stronger 4.2% in FY2025, following 4.7% in FY2023 and 3.7% in FY2024, broadly in line with levels in the US and the euro area.

While this result predates the impact of higher oil prices due to the closure of the Strait of Hormuz, we believe that the fact the economy remained strong right up until that point was itself a positive factor for the BoJ in moving forward with rate hikes.

Solid growth across domestic demand components

In detail, real GDP growth was driven roughly equally by domestic demand (+1.0ppt of the 2.1%q/q saar) and net exports (+1.1ppt). Within domestic demand, private consumption rose 0.3%/q, contributing +0.6ppt to overall GDP growth, and exceeding our expectation of 0.1%. With the stabilization of consumer inflation (as measured by the private consumption deflator), from a peak of 3.2% in Q1 2025 to 2.0%, households are seeing gains in purchasing power, supported by historically high real employee compensation (+1.3%/y since Q4 2024). Capex also remained moderately strong, increasing 0.5%q/q (+3.5%/y), against the backdrop of the AI investment boom. Public demand expanded moderately as well, rising 0.3% q/q (1.0% y/y), supported by a larger FY2025 government budget compared with FY2024.

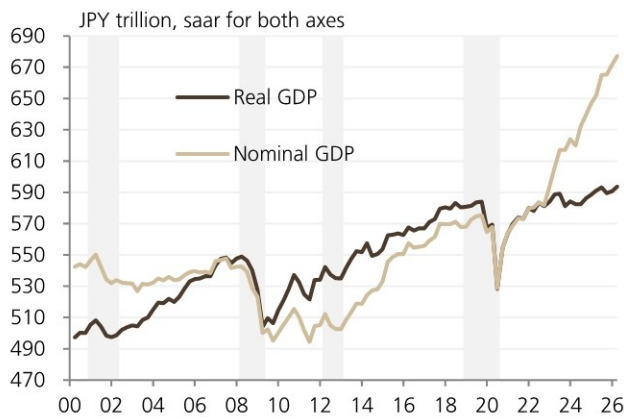
In the positively contributed net exports, export decently grew 1.7%q/q, better the imports at 0.5%. As expected, trade of goods finally picked up at 1.7%q/q after two consecutive quarter of fall thanks to a strong rebound in auto related sector (+6.5%q/q) and capital goods (+4.5%q/q) in BoJ trade series. Service exports slightly rose 0.4%q/q, supported by consulting service etc while there was no meaningful contribution from inbound spending (-1.6%q/q).

Economic Outlook: Elevated downside risks with different conditions from 2022

Our primary concern is likely the downside impact on economic activity stemming from the deterioration in the terms of trade following the surge in crude oil prices. BoJ import/export price index for April confirmed a further worsening in the terms of trade, driven by a sharp increase in import prices (Figure 21). Elevated energy costs are expected to weigh on corporate profits, constrain capital expenditure, and dampen household consumption through a decline in real purchasing power amid rising inflation.

While a deterioration in the terms of trade was also observed in 2022, the current episode is likely to differ from the past. In 2022, the depreciation of the yen helped cushion the impact on corporate profits and capital investment (Figure 22). However, this time the weakening of the yen appears more limited. Moreover, in 2022, households were able to sustain consumption despite declining real purchasing power by drawing down savings (Figure 23). In contrast, the savings rate is already low at present, suggesting that such a buffer may be limited this time (Figure 24).

Figure 1: Real/nominal GDP (level)



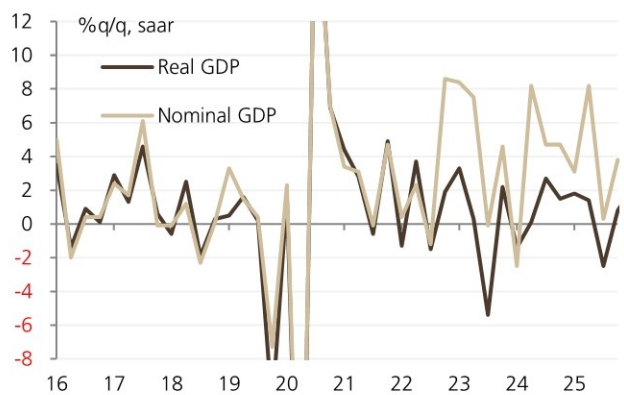
Source: CAO

Figure 2: Actual vs forecast

% q/q, unless otherwise in	q/q			q/q, saar contribution			vs UBSe
	Actual	UBS	BBG	Actual	UBS	BBG	
Real GDP (q/q)	0.5	0.4	0.4	2.1	1.7	1.7	0.4
Private consumption	0.3	0.1	0.1	0.6	0.2	0.2	0.4
Residential investment	0.5	-5.0		0.1	-0.7		0.8
Capex	0.3	0.3	0.3	0.2	0.2	0.2	-0.0
Government consumption	0.1	0.1		0.1	0.1		0.0
Public investment	1.4	-1.0		0.3	-0.2		0.4
Inventories				-0.2	0.9		-1.1
Exports of goods & serv.	1.7	2.6		1.5	1.9		-0.4
Imports of goods & serv.	0.5	2.2		-0.4	-1.5		-1.1
Domestic demand	0.2	0.3		0.9	1.3		-0.4
Net exports				1.1	0.3		0.8

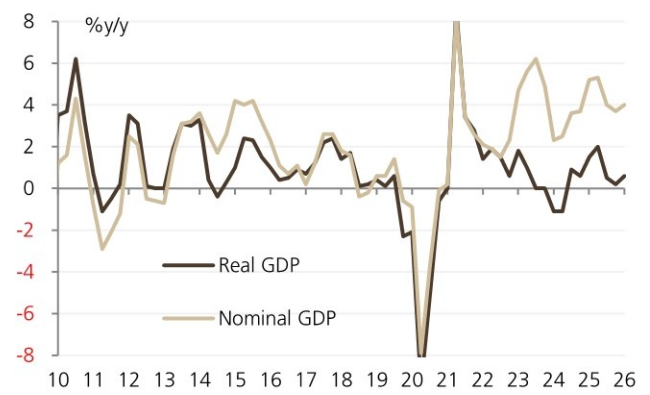
Source: CAO, BBG, UBSe

Figure 3: Real/nominal GDP (q/q, saar)



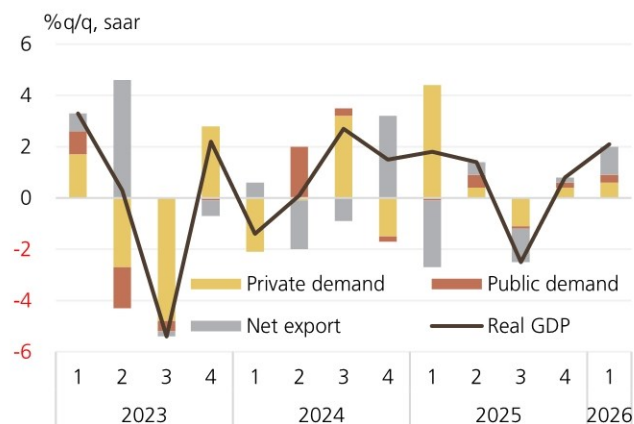
Source: CAO

Figure 4: Real/nominal GDP (y/y)



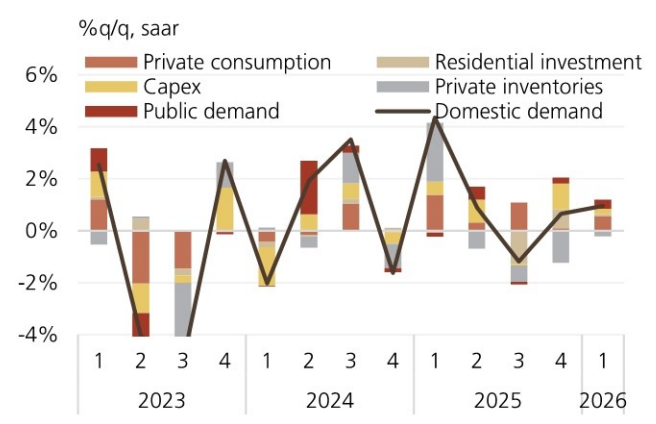
Source: CAO

Figure 5: Quarterly contribution (q/q, saar)



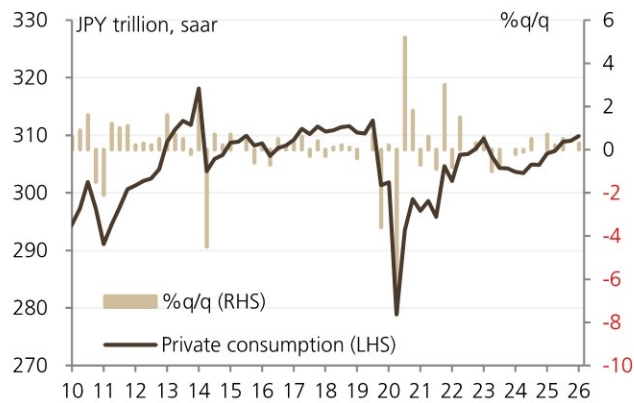
Source: CAO

Figure 6: Domestic demand was flat



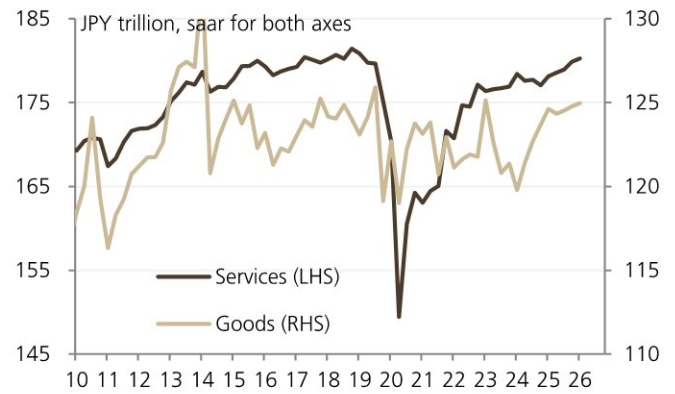
Source: CA

Figure 7: Private consumption rose 0.3%q/q, better than our expectation (0.1%)



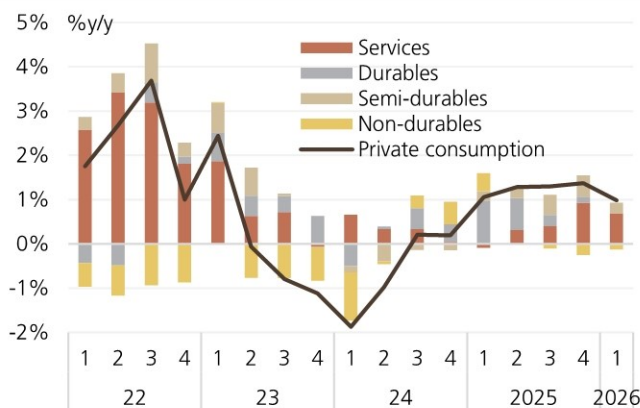
Source: CAO

Figure 8: Consumption of both goods and services



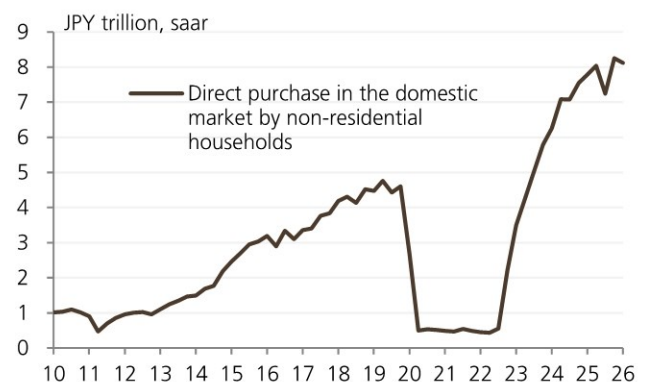
Source: CAO

Figure 9: Breakdown of private consumption (%y/y)



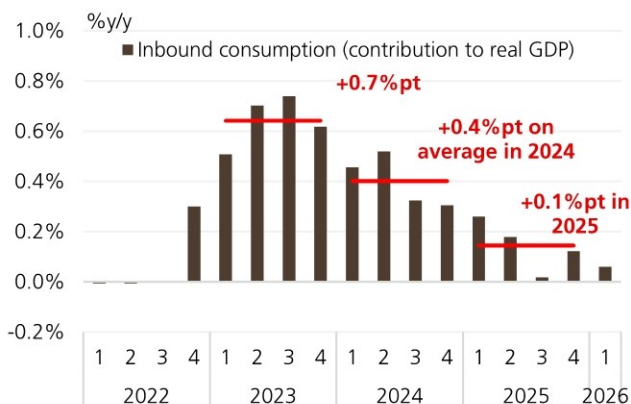
Source: CAO

Figure 10: Inbound consumption fell by 0.6%q/q



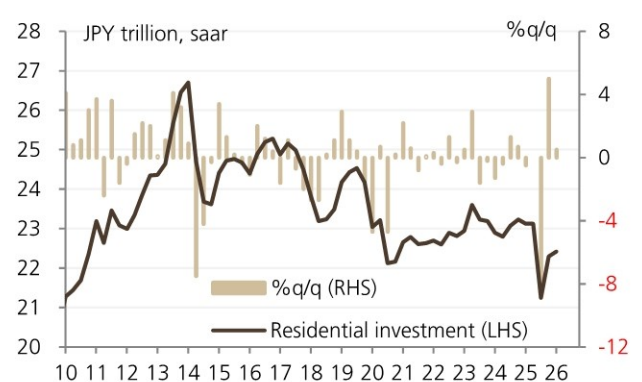
Source: CAO

Figure 11: Contribution of inbound consumption to real GDP growth (y/y)



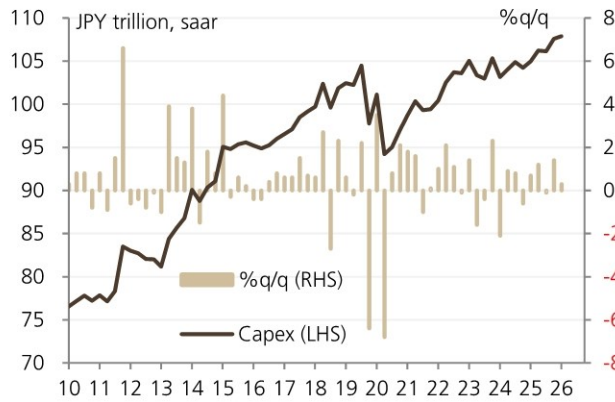
Source: CAO

Figure 12: Residential investment showed a rebound but not back to the previous level



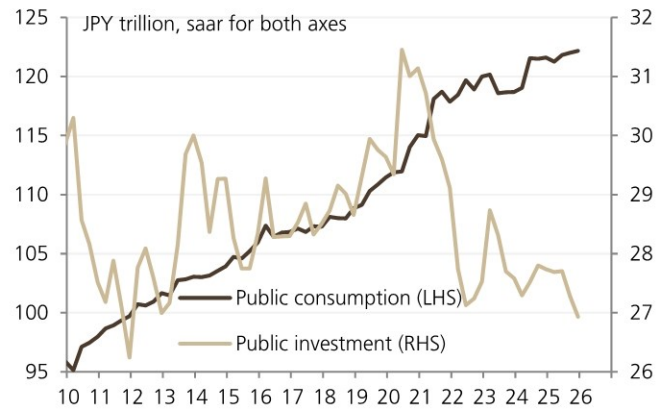
Source: CAO

Figure 13: Capex rose 0.3%q/q, steadily rising



Source: CAO

Figure 14: Both public consumption and investment rose 0.4%q/q and -0.2% respectively



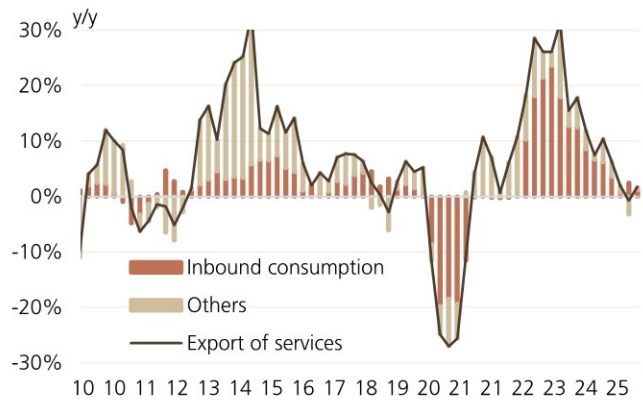
Source: CAO

Figure 15: Exports of goods rebounded supported by auto related and capital goods (2.2%q/q vs 0.4% in services)



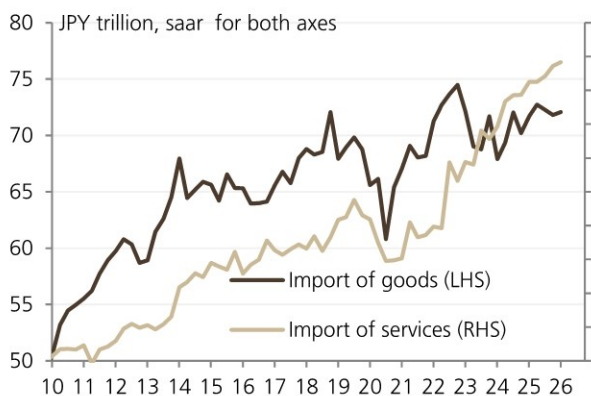
Source: CAO

Figure 16: Breakdown of service exports growth



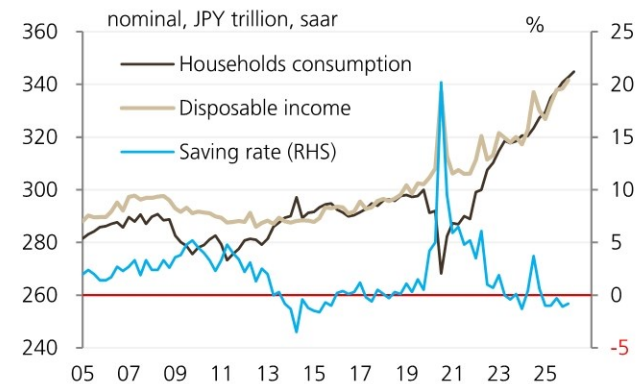
Source: CAO

Figure 17: Both imports of goods and services rose 0.4%q/q and 0.8% respectively.



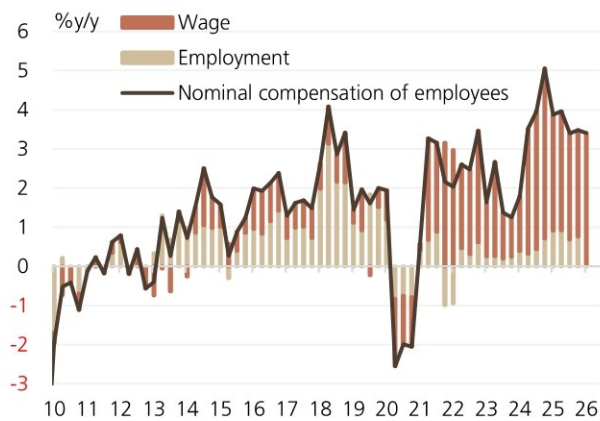
Source: CAO

Figure 18: Nominal households consumption, disposable income and saving rate



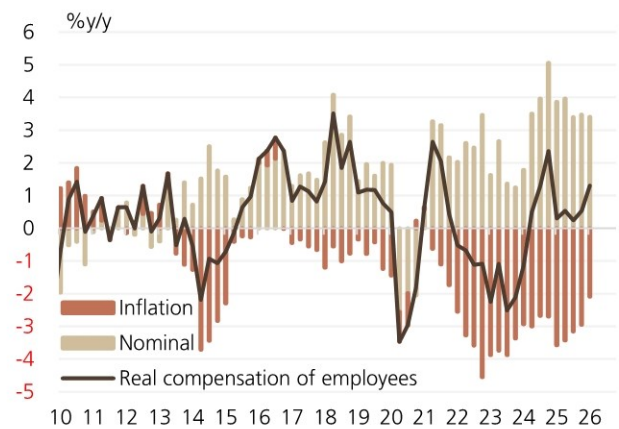
Source: CAO, UBSe *disposable income is as of Q3 2025

Figure 19: Compensation of employees in national account rose 3.4% YoY mainly due to wage growth



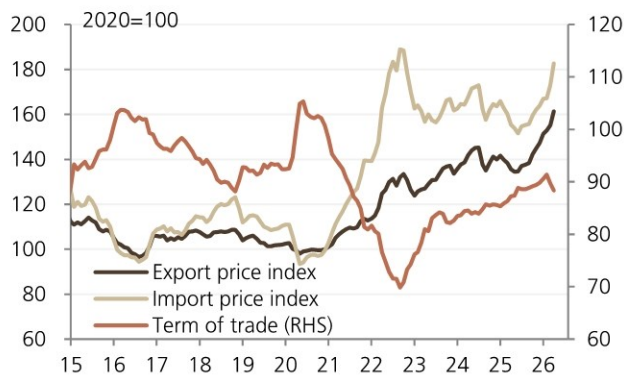
Source: CAO *wage and employment data are based on monthly data from MHLW and MIC.

Figure 20: Real compensation of employees rose 1.3% YoY, highest since Q3 2026



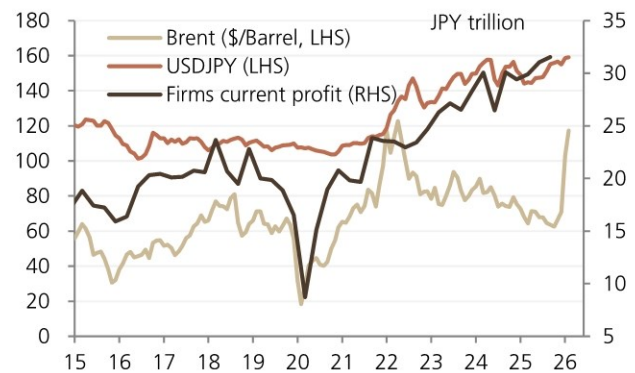
Source: C

Figure 21: Term of trade starts to worsen



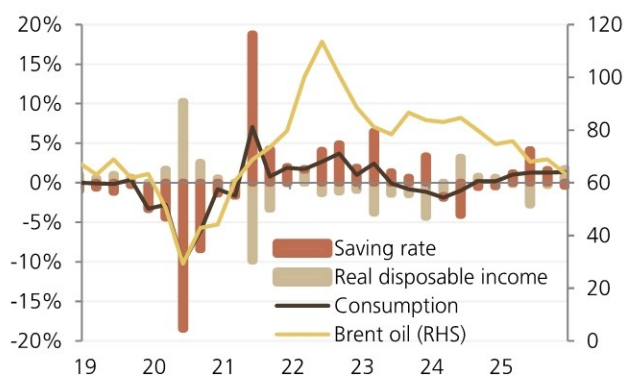
Source: BoJ

Figure 22: The relatively limited decline in corporate profits during the 2022 surge in oil prices is likely attributable to the depreciation of the yen.



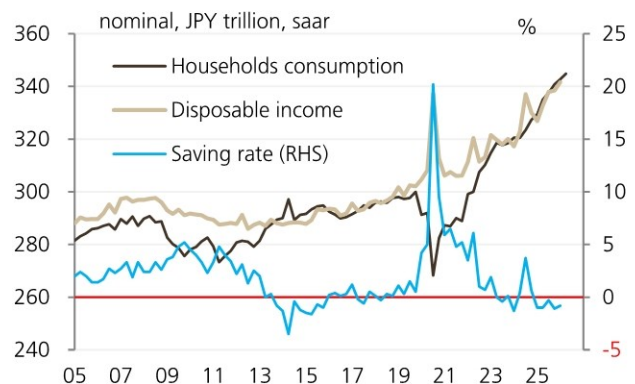
Source: MoF, Haver

Figure 23: In 2022, the negative impact of higher oil prices on real disposable income was more than offset by a decline in the savings rate, keeping consumption on an upward trend.



Source: CAO, Haver

Figure 24: The savings rate, which was relatively high in 2022, has recently turned negative, leaving limited room for further decline to support consumption



Source: CAO, UBS *disposable income is as of Q4 2025

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